



Business Process Engineering

Week 01-02



Marks Distribution



Marks Distribution:	
Assignments:	04
Quiz:	08
Project:	08
Midterm (15 X 2):	30
Final:	50



Course Outline



- Business process management
- Manufacturing and services processes
- Lean processes Improvement workshop techniques
- Modelling and charting tools
- Business process outsourcing
- Re-engineering and improvement cases

Tentative Course Description

Week	Class No.	Topics
1	1	Introduction to Business Process, Types of Business Process,
	2	Introduction to Business Process,
	3	Types of Business Process
2	4	Brief concept of Business process Management
	5	Is BPM like task or project management? What BPM is Not
	6	BPM lifecycle
3	7	Types of BPM, System centric (ERP, CRM), Human centric, Document centric
	8	Business Process Modeling
	9	Modelling and charting tools
4	10	Process Orchestrations
	11	Process Choreographies, High-Level Design-Behaviour
	12	Collaboration Scenarios, Interaction Model/collaboration
5	13	Service Interaction Patterns
	14	Properties of Business Processes
	15	Structural Soundness, and it Violations



Tentative Course Description



6	16	Relaxed Soundness
	17	Week Soundness
	18	Lazy Soundness
7	19	Business Process Architecture
	20	Business Process Architecture Design Approaches
	21	Business Process Management Architectures
8	22	Workflow Management Systems Architectures
	23	Web Services and their Composition,
	24	Domain ontology
9	25	Data-Driven Processes: Case Handling
	26	Business Process Improvement
	27	Lean Management
10	28	Six Sigma
	29	Agile Management
	30	Kaizen, Total Quality Management

Tentative Course Description

11	31	Business Process Outsourcing
	32	Types of BPO
12	33	Business Process Outsourcing Examples
	34	Business Process Re-Engineering
	35	Business Process Re-Engineering
	36	Re-Engineering case studies
13	37	Introduction to ARIS-Cloud
	38	ARIS Modules
	39	ARIS Modules
14	40	ARIS Working Examples
	41	ARIS Working Examples
	42	ARIS Working Examples
15	43	Revision
	44	Revision
	45	Revision
16	46	Project Presentations
	47	Project Presentations
	48	Project Presentations

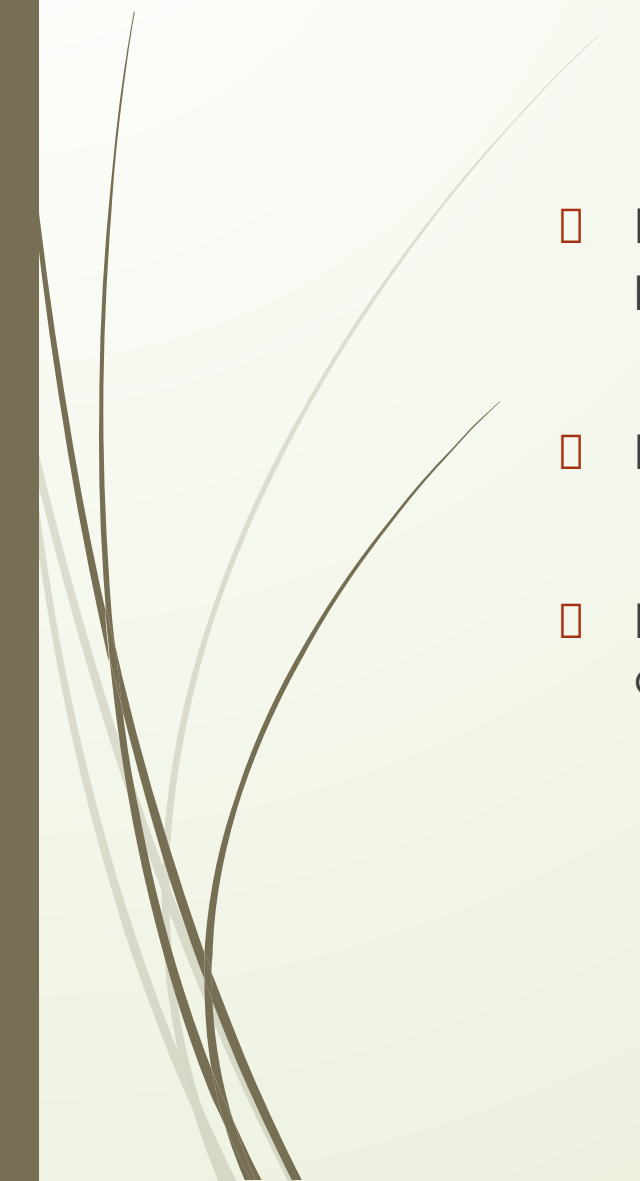


What is Business Process?

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- A business process is defined as a series of tasks, or a set of activities performed by a group of stakeholders to achieve an organizational goal
 - The processes are performed by people or systems in a structured manner to attain a pre-defined objective.
 - A company can reach its business goals in an efficient and effective manner only if people and other enterprise resources, such as information systems, work together well.
 - It is the fundamental building block for several related ideas such as business process management, process automation, etc.
 - it's essential to understand why they are so important to your business.



To Short

- ❑ Business Process is a set of tasks that directly or indirectly help your business provide the products/services to the customer.
 - ❑ Processes are the core of any business.
 - ❑ Everyday productivity of employees and long-term growth of the business is determined by how well you have managed your business processes.
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Why are business processes important?

It saves time

- 'Time is money' is being used since ages and is still relevant. When your business processes are aligned and crystal clear, you can save a lot of time for your employees and customers. Time is precious for the customers, and when you are able to deliver your promises in time,

Reduces Opportunity cost

- It may sound like you are missing big benefits and making a bad choice that can hurt a business. In reality, the opportunity cost is evaluating which is the best choice in a given situation and why

Increases the efficiency

- When everyone in the organization knows what they are supposed to do chronologically, it decreases a lot of redundancies and increases the efficiency of the whole organization.

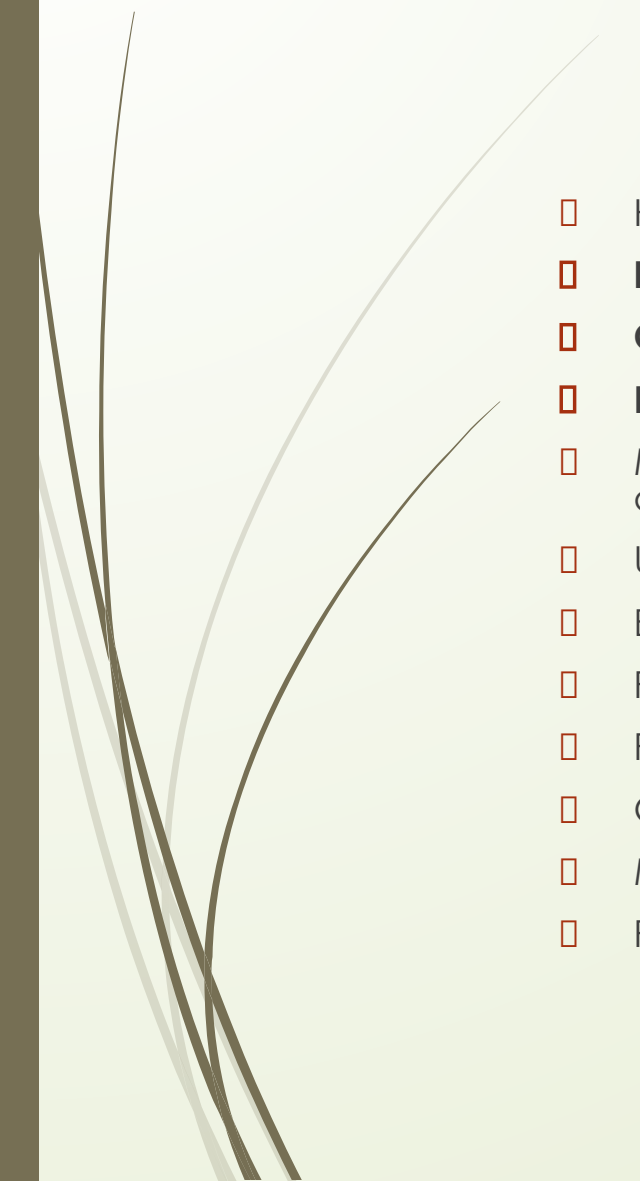
Example

❑ Example 1 – Purchasing Inventory vs Hiring More Employees

- ❑ There may arise a situation in your business where you have to make a decision between buying new inventory and hiring new employees to tackle a rise in demand. While the rising demand will require you to purchase more inventory, hiring new employees is a long-term gain as it can boost the production capabilities of a business.
- ❑ However, let us say there is a sudden influx of a new trend in the market. If you want to cash in on this trend, it is ideal to stock the required items quickly to earn as much revenue as possible until this trend lasts. On the other hand, if you decide to hire new employees to increase your productivity, you may not be able to meet your requirements due to urgency and a lack of time. Training new employees and helping them align with the business objective will take time and in the meanwhile, the trend may die down. The opportunity cost of hiring new employees in this situation is high and not a decision business owners would take.



Examples of Business Process



- Here is a simplified example of how Business Process looks like.
- **Industry:** Marketing
- **Company type:** Ad agency
- **Process:** Ad creation
- Marketing agency processes can be a bit tricky as there is more qualitative output to be delivered. Here are the steps of an ad creation process:
- Understanding client requirements
- Brainstorming idea for the ad
- Preparing a campaign
- Pitching the idea to the client
- Getting the approval
- Making necessary changes
- Providing the deliverables

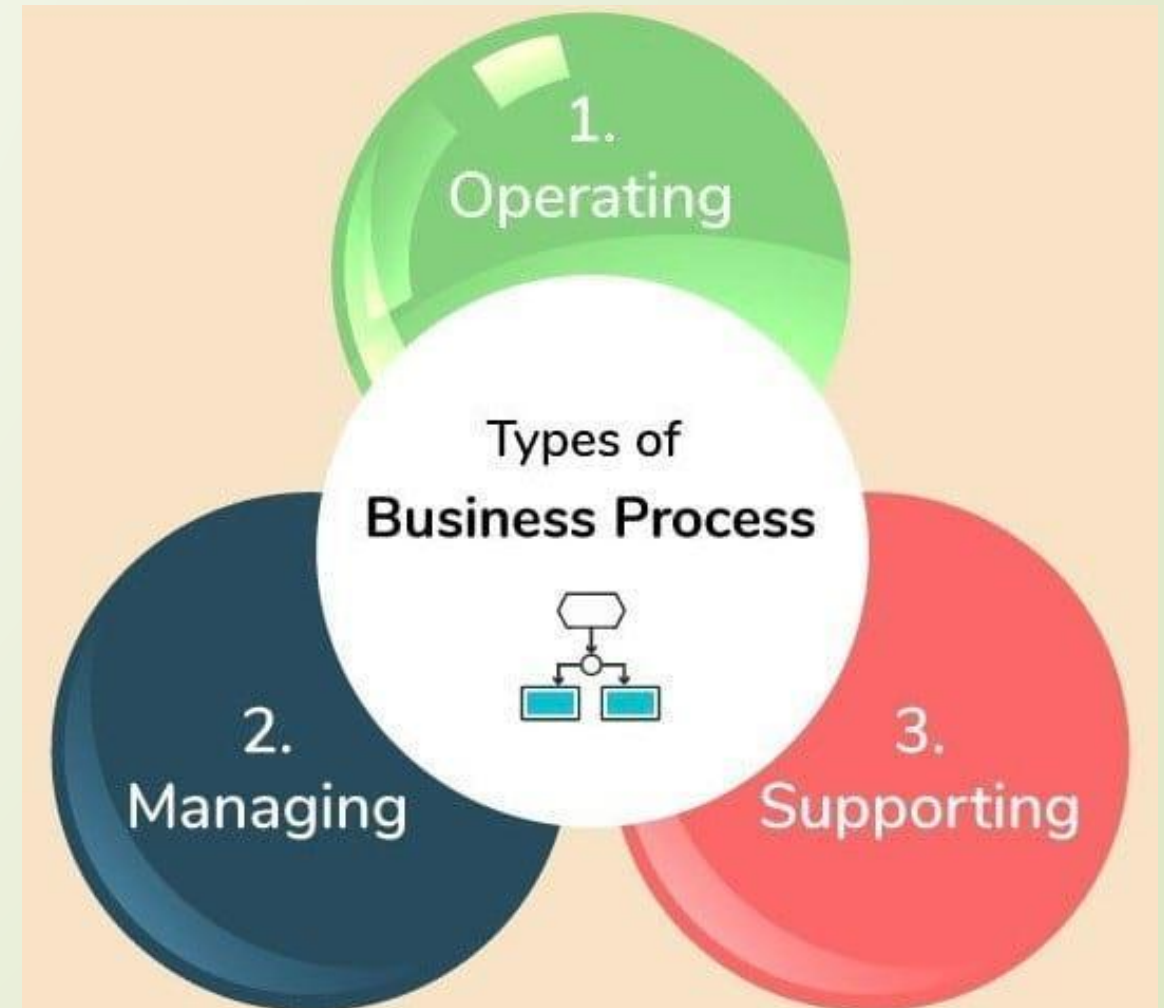


Examples of Business Process

- ❑ **Industry:** Information Technology
- ❑ **Company type:** SaaS tool
- ❑ **Process:** Developing the product
- ❑ SaaS industry is booming and the solutions provided by these companies are value and utility-driven. Here's how the process of developing the product looks like:
- ❑ Understanding market demand
- ❑ Finalizing a product outline
- ❑ Programming the backend
- ❑ Coordinate with the designer to program
- ❑ The front end and the UX
- ❑ Preparing an Onboarding experience
- ❑ Testing the product internally
- ❑ Solving bugs and errors
- ❑ Running a beta test
- ❑ Taking feedbacks from the users
- ❑ Improve further

Types of Business Process

- ❑ **Management processes**
- ❑ **Operational Processes**
- ❑ **Supporting Processes**



Management processes

- ❑ The processes that plan, organize, coordinate and control all the functions of the business fall under managing processes.
- ❑ These processes are goal-oriented. It includes helping and motivating your team to achieve their targets.
- ❑ These processes also help in forming a direction for the further growth of your business. Regulating day to day tasks, teaching employees how to complete a task effectively, launching a new product, etc.
- ❑ E.g., CEOs, managers, and top-level management are generally involved in management processes.
- ❑ The processes that govern the operation of a system. Typical management processes include "corporate governance" and "strategic management".

The framework of rules and practices by which a board of directors ensures accountability, fairness, and transparency in a company's relationship with all its stakeholders (financiers, customers, management, employees, government, and the community).

A **business strategy** is the means by which an organization sets out to achieve its desired objectives. It can simply be described as long-term business planning.



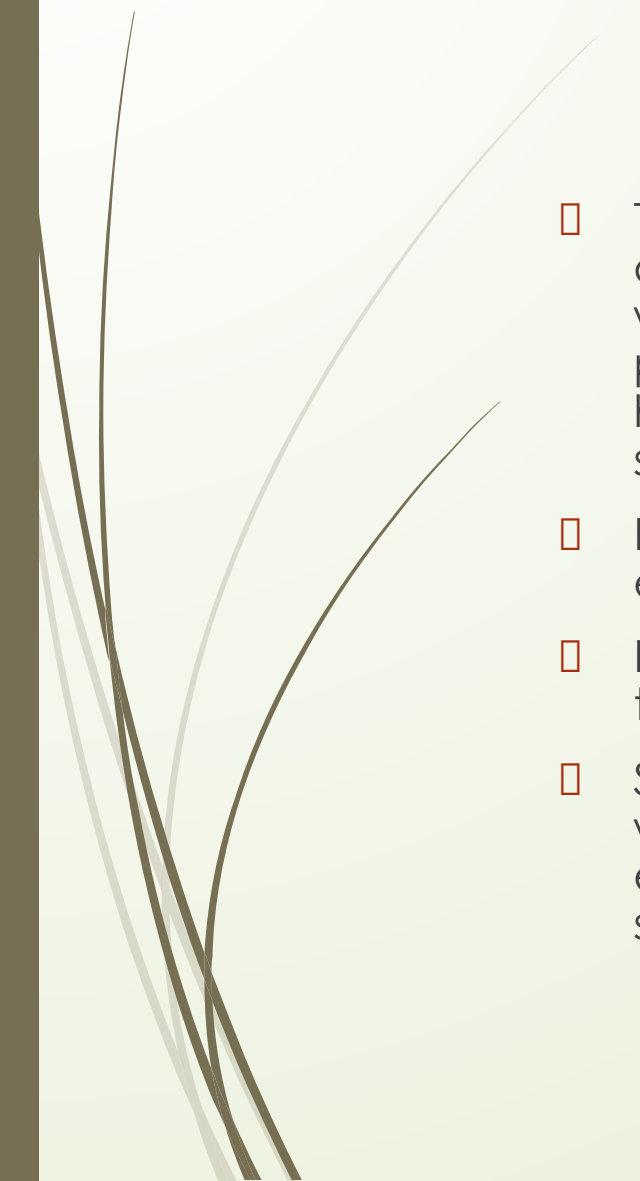
Operational Processes



- These processes are directly related to the fundamental values, vision, and mission of the business. They are also known as primary processes. You need to give extra attention to these processes as they are the primary revenue streams of the company. Filling the gaps and adding necessary improvements in these processes is essential. Once you complete the evaluation of these processes, it will have a direct impact on the growth of your business.
- E.g., McDonald's restaurant's operating process would be taking orders, making food, and serving it to the customers.



Supporting Process



- These are the processes that are not directly related to the delivery of the service or product to the customer. But they help the business create an environment where the primary processes can work better. That is where the name “supporting process” comes from. These are the processes under the accounting department, human resource management department, and any other department that supports the main functions of the business.
- E.g., Hiring a new employee is a supporting function that helps the business expand.
- Let's take a look at this example of a call center to understand all the types of these processes.
- Solving queries of clients on the call is the operating function. Managing the whole staff falls under managing processes. While the IT department assisting the employees at the time of any technical or hardware problems will be a supporting process.



Business process Engineering

- Business process engineering is a way in which organizations study their current business processes and develop new methods to improve productivity, efficiency, and operational costs.
 - Business process engineering refers to the study of business processes so that they can be improved and streamlined for optimum efficiency in terms of both performance and cost.
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Business process Engineering



- The goal of business process engineering (BPE) is to define architectures that will enable a business to use information effectively.
- Three different architectures must be analyzed and designed within the context of Business objective and goals.
 - Data architecture
 - Application architecture
 - Technology infrastructure



Business Process Engineering Approaches

- Understanding the Present Mode of Operation (PMO).
 - Determining the Future Mode of Operation (FMO)
 - Gap Analysis and Transition Plan
 - Implementation.
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What Makes Business Process Engineering a Success?

Your business process engineering team must be highly motivated, well-informed, and ready to think out of the box.

Know what business needs you seek to address. Do you hope to deliver an excellent customer experience? Are you seeking more cost-effective ways to get things done? Your goals inform the way in which you engineer your processes for efficiency.

Have the IT infrastructure you need. With business process engineering, IT infrastructure provides the tools and data that are needed.

Effective change management strategies help to get all the affected parties working together towards common goals.

Commitment to continuous improvement is a must. Whether you are setting up processes that will run for the first time or are streamlining, changing or revising existing systems, the actual results you achieve will point towards areas for further improvement.